DISCUSSION QUESTIONS

1 'Accountants should not concern themselves too much with elaborate administrative and accounting controls, since any system is only as good as the human element in the system.' Do you agree? Explain your answer.
2 What is an internal control system? Discuss the principles involved in establishing a good internal control system. Discuss also the limitations of internal control systems.
3 'In a system that uses several special journals, it is not necessary to have a general journal.' Do you agree? Explain.

7.1 'Accountants should not concern themselves too much with elaborate administrative and accounting controls in an internal control system, since any such system is only as good as the human element in the system.' Do you agree? Explain your answer.

The primary role of internal control is to safeguard the assets of the entity against waste, fraud, inefficiency and incompetence. Cash, being a liquid asset, is very susceptible to robbery and fraud; therefore, safeguarding cash requires stringent internal control procedures. Clearly established lines of responsibility and separation of duties are important (see text p. 300).

People, being naturally ingenious, often try to outsmart the system, and sometimes succeed; but a good internal control system should detect whenever there has been a breakdown in procedures, or collusion between employees. Employing competent staff to carry out internal control procedures is vital. However, the cost of a good internal control system may exceed the benefits, both economic and social, of having such a system; hence, costs and benefits must be carefully considered in the system's design phase to ensure adequate but not excessive internal control procedures. Accountants should concern themselves to the point where they consider controls in an internal control system adequate. It is impossible to establish the 'perfect control system'.

2025. Further circulation disallowed.

7.2 What is an internal control system? Discuss the principles involved in establishing a good internal control system. Discuss also the limitations of internal control systems.

A system of internal control consists of all the measures used by a business:
- to safeguard its resources against waste, fraud and inefficiency
- to promote the reliability of accounting data
- to encourage compliance with business policies and government regulations.

Two aspects to internal control:
(1) administrative controls and
(2) accounting controls.

Administrative controls are those established to provide operational efficiency and adherence to prescribed policies, such as a written directive identifying the standards to be followed in hiring new employees, manuals identifying purchasing and sales procedures, and various performance reports required from employees.

Accounting controls are the methods and procedures used to protect assets and ensure the reliability of accounting records, such as procedures for the authorisation of transactions and the separation of record-keeping duties from custodianship of the entity's assets.

Principles of internal control which should be discussed are:
- Clearly established lines of responsibility.
- Separation of record keeping and custodianship.
- Division of responsibility for related transactions.
- Mechanical and electronic devices.
- Adequate insurance.
- Internal auditing.
- Programming, physical and other controls.

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7.5 Matching transaction types with journals **LO4**

Fiona Spottiswoode uses a purchases journal, a cash payments journal, a sales journal, a cash receipts journal and a general journal. Indicate in which journals the following transactions are most likely to be recorded.

1. Issue of shares for cash
2. Purchased inventories on credit
3. Cash purchase of inventories (cheque no. 32162)
4. Sale of marketable securities (shares) for cash
5. Sales of inventory on credit
6. Received payment of a customer's account
7. Received adjustment note for defective goods, which were purchased on credit and returned to the supplier
8. Owner withdrew inventory for personal use
9. Owner withdrew cash
10. Payment of monthly rent by cheque
11. Cash refund to a customer who returned inventory
12. Year-end closing entries

1. Cash receipts journal
2. Purchases journal
3. Cash payments journal
4. Cash receipts journal
5. Sales journal
6. Cash receipts journal
7. General journal
8. General journal
9. Cash payments journal
10. Cash payments journal
11. Cash payments journal
12. General journal

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7.21 Accounting for transactions with several journals ★★ **LO3, 4**

Elliott started business on 1 July 2019. The accounting system includes a sales journal, a purchases journal, a cash receipts journal, a cash payments journal and a general journal. The chart of accounts shows the following titles.

100	Cash at Bank	410	Sales Returns and Allowances
110	Accounts Receivable Control	420	Discount Received
115	Prepaid Insurance	500	Purchases
150	Office Equipment	503	Purchases Returns
201	Accounts Payable Control	510	Discount Allowed
210	Loan Payable	550	Rent Expense
300	A. Elliott, Capital	560	Insurance Expense
400	Sales	570	Sundry Expenses

During June, the transactions were as follows (ignore GST).

June	1	A. Elliott deposited $50 000 capital in the business bank account.
	3	Paid rent for June, $8800, by interbank transfer.
	4	Borrowed $30 000 from the Regional Australia Bank.
	5	Purchased inventory on credit from Hendry Ltd, $11 300, invoice 743, terms 2/10, n/30.
	6	Purchased inventory on credit from Kelly Ltd, $4400, invoice 312, terms 2/10, n/30.
	8	Purchased office equipment, $2520, using the business's debit card.
		Sold inventory on credit to Leschev Ltd, $4620, terms 2/10, n/30, invoice 532.
	10	Paid for inventory purchased from Hendry Ltd, invoice 743, using an interbank transfer.
	12	Received an adjustment (credit) note from Kelly Ltd for inventory returned, $250.
	12	Forwarded cheque no. 977 to Kelly Ltd for balance owing on invoice 312.
	13	Sold inventory for cash, $1575.
	16	Had an automatic direct debit from the bank account for a 12-month insurance policy, $3150. The effective date of the policy was 1 June.
	17	Purchased inventory on credit from L. Mihai, $6720, invoice 763, terms n/30.
	20	Purchased inventory on credit from F. Nunn, $3690, invoice 506, terms 2/10, n/30.
	23	Sold inventory on credit to B. Bear, $3150, invoice 533, terms 2/10, n/30.
	25	Received payment from Leschev Ltd in full settlement of invoice 532.
	28	Sold inventory on credit to Nottage Ltd, invoice 534, $5250, terms 2/10, n/30.
		Paid F. Nunn in full for goods purchased on 20 June, cheque no. 978.
	30	Issued cheque no. 979, $320, for sundry expenses.
		Issued an adjustment (credit) note to Nottage Ltd for defective goods sold on 28 June, $125.
	30	Received payment from B. Bear in settlement of invoice 533.

Required

(a) Record the transactions in the appropriate journals. Indicate how the postings would be made from the journals by entering the relevant posting references.

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(a)

Cash Receipts Journal

p. 1.

Date	Account	Post. Ref.	Cash at Bank	Dis. All'd	Sales	Accts. Rec'ble	Other
1/7	A.Elliott, Capital	300	50 000				50 000
4/7	Loan Payable	210	30 000				30 000
13/7	Cash Sales		1 575		1 575		
25/7	Leschev Ltd	√	4 620			4 620	
30/7	B Bear	√	3 087	63		3 150	
			89 282	63	1 575	7 770	80 000
			(100)	(510)	(400)	(110)	(x)

Cash Payments Journal

p. 1.

Date	Account	Ch. No.	Post. Ref.	Other	Acc/s Payable	Purchases	Cash at Bank	Dis. Rec'd
3/7	Rent Expense	BPay	550	8 800			8 800	
8/7	Off. Equip.	BPay	150	2 520			2 520	
10/7	Hendry Ltd	BPay	√		11 300		11 074	226
12/7	Kelly Ltd	977	√		4 150		4 067	83
16/7	Prepaid Ins.	Auto Dr	115	3 150			3 150	
28/7	F Nunn	978	√		3 690		3 616	74
30/7	Sundry Exp.	979	570	320			320	
				14 790	19 140		33 547	383
				(x)	(2 01)		(100)	(420)

Sales Journal

p. 1.

Date	Invoice	Account	Post. Ref.	Amount
8/7	532	Leschev Ltd	√	4 620
23/7	533	B Bear	√	3 150
28/7	534	Nottage Ltd	√	5 250
				13 020
				(110/400)

2025. Further circulation disallowed.

Purchases Journal

p. 1.

Date	Account	Terms	Post. Ref.	Amount
5/7	Hendry Ltd	2/10, n/30	√	11 300
6/7	Kelly Ltd	1/10, n/30	√	4 400
17/7	L Mihai	n/60	√	6 720
20/7	F Nunn	2/10, n/60	√	3 690
				26 110
				(500/201)

General Journal

p. 1.

Date	Account	Post Ref.	Debit	Credit
12/7	Accts Payable Control			
	– Kelly Ltd	201/√	250	
	Purchases Returns	503		250
30/7	Sales Allowances	410	125	
	Accts Rec'ble Control			
	– Nottage Ltd	110/√		125
			375	375
			(x)	(x)

2025. Further circulation disallowed.

Problem 7.11 Special journals and financial statements

On 1 June 2017, Aaron Draper began trading as a landscape material supplier. The transactions for the month of June 2017 were as follows (ignore GST):

June	1	Draper transferred $120 000 from his personal savings to his business bank account.
	1	Purchased shop fittings for cash: paid by cheque no. 231, $80 000.
		Paid March rent by cheque no. 232, $3000.
	2	Purchased goods for resale on credit from Ailmore Ltd, $10 000.
	3	Banked cash sales totalling $3440.
	4	Sold goods on credit to G. Horwood: invoice no. 543, $1520.
	5	Purchased goods for resale from Groundcover Ltd: paid by interbank transfer, $3400.
	6	Banked cash sales totalling $1640.
	8	Purchased goods for resale on credit from Bachleda Ltd, $4800.
	9	Sold goods on credit to M. Kruger: invoice no. 544, $1960.
	10	Purchased office stationery from Biggs Ltd: paid by bank transfer, $480.
	11	Banked cheque for return of defective goods that had been purchased for cash, $380.
	12	Banked cash sales totalling $3600.
	14	Issued cheque no. 233 for miscellaneous expenses, $720.
	16	Refunded a customer for a cash sale returned: paid refund by cheque no. 234 for $680.
	17	Purchased goods for resale on credit from Cirocco Ltd, $12 000.
	18	Paid freight on goods purchased to Trucks Ltd: paid by bank transfer, $260.
	19	Sold goods on credit to C. Charles: invoice no. 545, $2120.
	21	Banked cash sales totalling $3180.
	22	Internet bank transfer to Ailmore Ltd in full settlement of its account, less a cash discount of 3%.
	23	Banked cheque received from G. Horwood in full settlement of his account, less a 2% cash discount.
		Interbank transfer to Aaron Draper's personal account for drawings, $2400.
	24	Banked cash sales totalling $4800.
		Paid June salaries by interbank transfers to of B. Thwaites, $2240; T. Vuong, $2600.
	26	Paid June electricity: cheque no. 235, $300.
	30	Paid June telephone to Copus Ltd by internet transfer, $224.
		Banked cash sales totalling $5600.

The following additional information is available:

1. *A physical inventory count held at the close of business on 30 June 2017 revealed that the cost price of inventory on hand amounted to $12 000.*
2. *The June salary of a part-time sales representative amounting to $800 was not paid until 2 July 2017.*
3. *Depreciation on shop fittings for the month of June amounted to $152.*

Required

A. Record the above transactions in the appropriate journals for the business of Aaron Draper.
B. Post the entries in the journals to the general ledger as well as to the debtors and creditors subsidiary ledgers.
C. Prepare the trial balance of Aaron Draper at 30 June 2017.
D. Prepare schedules of debtors and creditors at 30 June 2017, and reconcile the totals with the balances of the related control accounts in the trial balance.
E. Prepare the income statement of Aaron Draper for the month ended 30 June 2017.
F. Prepare the balance sheet of Aaron Draper at 30 June 2017.

2025. Further circulation disallowed.

Cash Receipts $ Journal

Date	Account Credited	Post Ref.	Cash at Bank	Disc. Allow	Sales	Accts. Recvbl.	Other
2017							
June 1	A. Drapper, Cap.		120 000				120 000
3	Sales		3 440		3 440		
6	Sales		1 640		1 640		
11	Purchase return		380				380
12	Sales		3 600		3 600		
21	Sales		3 180		3 180		
23	G. Horwood	√	1 490	30		1 520	
24	Sales		4 800		4 800		
30	Sales		5 600		5 600		
			144 130	30	22 260	1 520	120 380
			Debit	Debit	Credit	Credit	Credit

2025. Further circulation disallowed.

Cash Payments ($) Journal

Date	Account Debited	Cheq No	Post Ref	Other Accounts	Accounts Payable	Purchases	Cash at Bank	Discount Received
2017								
June 1	Shop fittings	231		80 000			80 000	
	Rent exp.	232		3 000			3 000	
5	Purchases	BPay				3 400	3 400	
10	Station. exp.	BPay		480			480	
14	Misc. exp.	233		720			720	
16	Sales returns	234		680			680	
18	Freight in.	BPay		260			260	
22	Ailmore Ltd.	BPay	√		10 000		9 700	300
24	Drawings	Trf		2 400			2 400	
26	Salaries	Trf		2 240			2 240	
	Salaries	Trf		2 600			2 600	
30	Elect. exp.	235		300			300	
	Teleph. exp.	BPay		224			224	
				92 904	10 000	3 400	106 004	300
				Debit	Debit	Debit	Credit	Credit

2025. Further circulation disallowed.

Sales Journal

Date	Invoice	Account	Post Ref.	Amount
2017				
June 4	543	G. Horwood	√	1 520
9	544	M. Kruger	√	1 960
19	545	C. Charles	√	2 120
				5 600

Purchases Journal

Date	Account	Post Ref.	Amount
2017			
June 2	Ailmore Ltd.	√	10 000
8	Bachleda Ltd.	√	4 800
17	Cirocco Ltd.	√	12 000
			26 800

General Journal

Date	Account	Post Ref.	Debit	Credit
2017				
June 30	Salaries Expense		800	
	Salaries Payable			800
	Accrual of June salary paid in July			
June 30	Depreciation Expense		152	
	Accumulated Depreciation: Shop Fittings			152
	Being depreciation of shop fittings for June 2017.			

2025. Further circulation disallowed.

B.

GENERAL LEDGER

Aaron Draper, Capital

2017					
			June 1	**CRJ**	**120 000**

Aaron Draper, Drawings

2017					
June 24	CPJ	2 400			

Cash at Bank

2017		Debit	2017		Credit
June 30	CRJ	144 130	June 30	CPJ	106 004
			30	Balance c/d	38 126
		144 130			144 130
30	Balance b/d	38 126			

Shop Fittings

2017					
June 1	CPJ	80 000			

Accounts Receivable Control

2017			2017		
June 30	SJ	5 600	June 30	CRJ	1 520
			30	Bal c/d	4 080
		5 600			5 600
30	Balance b/d	4 080			

Accounts Payable Control

2017			2017		
June 30	CPJ	10 000	June 30	PJ	26 800
30	Bal c/d	16 800			
		26 800			26 800
			30	Bal b/d	16 800

Purchases

2017			2017		
June 30	PJ	26 800	June 11	CRJ	380
30	CPJ	3 400	30	Bal c/d	29 820
		30 200			30 200
30	Bal b/d	29 820			

Salaries Payable

			2017		
			June 30	GJ	800

2025. Further circulation disallowed.

Sales

2017			2017		
			June 30	CRJ	22 260
June 30	Bal c/d	27 860	June 30	SJ	5 600
		27 860			27 860
			30	Bal b/d	27 860

Discount Received

			2017		
			June 30	CPJ	300

Sales Returns

2017					
June 16	CPJ	680			

Rent Expense

2017					
June 1	CPJ	3 000			

Stationery Expense

2017					
June 10	CPJ	480			

Miscellaneous Expenses

2017					
June 14	CPJ	720			

Freight Inwards

2017					
June 18	CPJ	260			

Discount Allowed

2017					
June 23	CRJ	30			

Salaries Expense

2017			2017		
June 26	CPJ	2 240			
June 26	CPJ	2 600			
June 30	GJ	800	June 30	Bal c/d	5 640
		5 640			5 640
	Bal b/d	5 640			

Electricity Expense

2017					
June 30	CPJ	300			

Telephone Expense

2017					

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June 30	CPJ	224			

Depreciation Expense – Shop Fittings

2017					
June 30	GJ	152			

Accum. Depn.– Shop Fittings

			2017		
			June 30	GJ	152

C.

	AARON DRAPER Trial Balance as at 30 June 2017		
		Debit	**Credit**
C	Aaron Draper, Capital		$120 000
(C)	Aaron Draper, Drawings	$2 400	
A	Cash at bank	38 126	
A	Shop fittings	80 000	
(A)	Accumulated depreciation – shop fittings		152 152
A	Accounts receivable	4 080	
L	Accounts payable		16 800
L	Salaries payable		800
E	Purchases	29 820	
R	Sales		27 860
(R)	Sales returns	680	
R	Discount received		300
E	Rent expense	3 000	
E	Stationery expense	480	
E	Miscellaneous expenses	720	
E	Freight inwards	260	
E	Discount allowed	30	
E	Salaries expense	5 640	
E	Electricity expense	300	
E	Telephone expense	224	
E	Depreciation expense – shop fittings	152	
		$165 912	$165 912

2025. Further circulation disallowed.

D.

ACCOUNTS RECEIVABLE SUBSIDIARY LEDGER

G. Horwood

Date			Debit	Credit	Balance
2017					
June 4	Sales	SJ	1 520		1 520
23	Cash	CRJ		1 520	Nil

M. Kruger

Date			Debit	Credit	Balance
2017					
June 9	Sales	SJ	1 960		1 960

C. Charles

Date			Debit	Credit	Balance
2017					
June 19	Sales	SJ	2 120		2 120

ACCOUNTS PAYABLE SUBSIDIARY LEDGER

Ailmore Ltd

Date			Debit	Credit	Balance
2017					
June 2	Purchases	PJ		10 000	10 000
22	Cash	CPJ	10 000		Nil

Bachleda Ltd

Date			Debit	Credit	Balance
2017					
June 8	Purchases	PJ		4 800	4 800

Cirocco Ltd

Date			Debit	Credit	Balance
2017					
June 17	Purchases	PJ		12 000	12 000

Schedule of Accounts Receivable as at 30 June 2017	
M. Kruger	1 960
C. Charles	2 120
	$4 080

Schedule of Accounts Payable as at 30 June 2017	
Bachleda Ltd	4 800
Cirocco Ltd	12 000

2025. Further circulation disallowed.

$16 800

E.

AARON DRAPER Income Statement for the month ended 30 June 2017		
INCOME		
Sales Revenue		$27 860
Less: Sales returns and allowances		680
Net sales revenue		27 180
Cost of sales:		
Beginning inventory	—	
Add: Purchases	29 820	
Freight inwards	260	
Cost of goods available for sale	30 080	
Less: Ending inventory	12 000	
Cost of sales		18 080
GROSS PROFIT		9 100
Other income: Discount received		300
		9 400
EXPENSES (unclassified)		
Salaries expense	5 640	
Rent expense	3 000	
Miscellaneous expense	720	
Electricity expense	300	
Stationery expense	480	
Depreciation expense	152	
Telephone expense	224	
Discount allowed	30	
		10 546
LOSS		$(1 146)

2025. Further circulation disallowed.

F.

AARON DRAPER Balance Sheet as at 30 June 2017		
CURRENT ASSETS:		
Cash at bank	$38 126	
Accounts receivable	4 080	
Inventory	12 000	$54 206
NON-CURRENT ASSETS:		
Shop fittings	80 000	
Less: Accumulated depreciation	(152)	
		79 848
TOTAL ASSETS		134 054
CURRENT LIABILITIES:		
Accounts payable	16 800	
Salaries payable	800	
		17 600
TOTAL LIABILITIES		17 600
NET ASSETS		$116 454
EQUITY		
Aaron Draper, Capital*		116 454
TOTAL EQUITY		$116 454

* Aaron Draper' capital account has been determined as follows:

Capital introduced	$120 000
Less Drawings	(2 400)
Less Loss for the month	(1 146)

2025. Further circulation disallowed.